COMPANY HAS LESS DEBT
A low proportion of debt to equity is also described as a low degree of financial leverage. Equity typically comes from reserves and share capitals.

Debt finance (loans)

Pros

- Debt payments do not change with profitability
- Interest payments are tax deductible
- Debt does not dilute ownership
- Company retains control of decision-making
- Repayment is a known amount that can be planned for
- Quicker and simpler to set up
- Small business loans at favorable rates may be available to start-ups

Cons

- High gearing is considered a measure of financial vulnerability, as debt payments must be made even if profits are low
- High risk may put off investors and adversely affect credit rating
- Loans and interest must be paid, even if operating profit shrinks
- Debt may be secured on fixed assets of a company. Unpaid lenders can seize assets and force bankruptcy
- Tax authorities and lenders are to be paid first in the event of insolvency

NEED TO KNOW

- **Interest cover ratio** An alternative method of calculating gearing: operating profit divided by interest payable.
- **Overleveraged** A situation in which a business has too much debt to meet interest payments on its borrowing.
- **Deleverage** The immediate payment of any existing debt in order to reduce gearing.
- **Creditors** Those to whom a debt is due or a payment needs to be made (shareholders are always behind loan-holders in the order of repayment).
- **Dilution** Angel investors—people who provide finance and invest in the future of a start-up company—will usually receive shares in return. This is known as diluting ownership, as the angel investors will own part of the company and may hold sufficient shares to have a controlling stake.

High gearing

A water company is the only water provider in the area, with several million customers. Although high, the ratio of 64 percent is acceptable for a utility company with a regional monopoly and a good reputation.

$$\frac{\$360 \text{ MILLION}}{\left(\$82 \text{ MILLION} + \$120 \text{ MILLION} + \$360 \text{ MILLION}\right)} \times 100 = 64\%$$

25%
the ratio at or below which a company is traditionally said to have low gearing